# PARENT GUIDE

*EP02 · Pizza = Stock · 5-minute prep, 30-minute payoff*

## WHAT YOUR KID JUST LEARNED

In 42 seconds, your kid was introduced to the single most important investing concept: **a stock is fractional ownership of a real company.** The pizza analogy isn't a metaphor — it's mathematically identical. 8 slices and you own 1 = you own 1/8th of the cash flow, the assets, and the future of that company. Same with shares. If your kid retains nothing else, they'll never confuse a stock with "a piece of paper the rich people own" again.

### WHY IT MATTERS NOW

Compound interest is a powerful tutor — but only if the lessons start early. A child who buys their first share at age 11 with $50 of birthday money has a 55-year compounding runway by retirement. The S&P; 500's historical ~9.8% average return turns that $50 into roughly $7,800 — without ever adding a dollar. The point of this episode isn't the dollar — it's the ownership mindset. Owners think long-term. Renters don't.

**Kids who learn investing early earn more, save more, and start businesses sooner.**

# DINNER-TABLE CONVERSATION STARTERS

**“If you could own a slice of any company, which would you pick — and why?”**

*Listen for: do they pick a brand they USE (good signal), or just what’s popular?*

**“What would you do if your slice was worth half tomorrow?”**

*Looking for: panic vs. patience. Both are normal — talk through both.*

**“Could we OWN a slice of [their favorite store/game] together?”**

*If yes → tee up Episode 03 (How to actually buy your first share).*

**“What makes a company worth more over time?”**

*Goal answers: better products, more customers, smarter team, less waste.*

**“Is it better to own 1 slice of one company or 1 slice of 8 different companies?”**

*Sets up the next big concept: **diversification** (Episode 05).*

# DO-IT-TOGETHER ACTIVITY (15 MIN)

**The Living-Room Pizza Company.** Pick one household task — say, Sunday-night kitchen cleanup. Print 8 slips of paper labeled SLICE 1–8. Each slip = 1 “share” of Cleanup Inc. Whoever holds the most slices gets the biggest say in HOW the cleanup runs. Trade slices for chores, allowance, or screen time over the next week. Watch your kid **feel** ownership instead of just hearing about it.

## REAL-WORLD EXAMPLES (SAFE TO SHARE)

- **Lego Group** — privately held (no stock yet) but a great “what if?” thought experiment.
- **Disney (DIS)** — owns Marvel, Star Wars, Pixar, ESPN. One stock = a slice of all of them.
- **Crocs (CROX)** — every pair sold = a tiny win for shareholders.
- **Roblox (RBLX)** — your kid probably already “works for them” for free; teach them they could OWN them.

## WHAT TO WATCH FOR

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| Curiosity about brands they use daily | “I want to get rich quick” framing |
| Asking how companies make money | Confusing investing with gambling |
| Wanting to own slices of MANY companies | All-in on one “hot” tip from a friend |
| Patience to hold for years | Wanting to sell after 1 bad day |

## WHEN THEY’RE READY TO BUY THEIR FIRST SHARE

Custodial brokerage accounts (UTMA / UGMA) are the kid-friendly path. Fidelity Youth, Schwab Custodial, Greenlight + invest, Stockpile, and Public are common U.S. options. None of these is investment advice — pick one that matches your tax, fee, and parental-control comfort level. Episode 03 walks through HOW to actually buy the first share (and what to NOT spend $300 on first).

**Up next: EP03 — “How to actually buy your first stock.”**

*This guide is general financial education, not personalized investment advice. Consult a licensed advisor for decisions specific to your family.*